

eg update

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【メール原文】

dear hondo-san,

the iran war. three (and only three) options in a g-zero world. and some us midterm perspective.

iran

"war is the continuation of politics by other means" - carl von clausewitz

i've been thinking about that quote a lot over the last week. the americans and the iranians—both under significant and mounting (though very different) pressure—announced a deal in switzerland last month. after working through the night, a 4am memorandum of understanding brought acceptance of a 60-day ceasefire and free passage through the strait of hormuz. but fundamental disagreements continued between the two countries over what was meant by that memorandum in terms of control over the strait.

president trump believed allowing the iranians to export oil was the principal "give" and that any further benefits discussed between the two sides, like multibillion asset unfreezes and a \$300 billion reconstruction fund, would come in exchange for further iranian diplomatic progress. the iranians believed they would maintain control over the strait and directly benefit economically from allowing passage. those mutually exclusive understandings were papered over by the memorandum. but then, when the americans pressed their understanding—with most ships transiting the strait of hormuz not using the iranian passage and accordingly ceding no authority to the iranians—the iranians pressed their own very different understanding, by attacking some of those ships and disrupting the strait once more.

so much for negotiations resolving the politics. now, per clausewitz, we have the continuation of the politics through direct military strikes.

trump decided to formally breach the memorandum—announcing a us blockade on iranian ports and engaging in what has now been nearly a week of targeted strikes against iranian military and some infrastructure targets. iran hit back, announcing a blockade of its own and striking at us military bases (killing three us servicemen in the process) and equivalent infrastructure across the gulf. critically, while the iranian navy doesn't have the capability to enforce a blockade (nor did they before the war started), they can and have effectively disrupted the strait once again through drone, missile, and small boat strikes that dissuade crews from crewing transiting ships and insurers from insuring them.

we're back to the strait being close to impassable.

for now, the iranians are unlikely to back down from us pressure. they are still looking for long-term leverage over the strait. meanwhile, the costs of american escalation absent a return to full-blown war (us strikes on energy infrastructure, leadership targeting) are manageable for the iranian leaders. they still presume that president trump is reluctant to take that step.

there's further downside from the houthis, a proxy of iran with significant military and very mobile capabilities of their own (drones and ballistic missiles with ranges from 900km-2500km), who could interfere with oil transit through the red sea. that could take an additional 4.5 million or so barrels of oil

off the market if the houthis strike enough ships to stop traffic, a dramatic escalation. the iranian government has said this is coming, but the houthis ultimately make their own military decisions (unlike hezbollah, where the islamic republic has direct leadership authority) in pursuit of their own local interests, as they remain engaged in a war with the saudi arabia-supported government of yemen. with the principal question being whether the saudis are prepared to make further payments to the houthis (as they did at the beginning of the war) to convince them to stay out of the fight.

there's also the question of further escalation from the united states. president trump continues to threaten possible military options...but they've not proven any more effective. he briefly flirted with ("announced") a 20% american toll on all ships transiting through the strait, contradicting stated us policy from his vice president and all relevant cabinet members...but he wanted to make a big statement and his advisors had no sway to dissuade him. none of which changed the reality that there was no support for it in the region, not to mention no ability to execute...and so 24 hours later he gave up on it.

similarly, trump threatened to destroy iranian power plants and bridges within a week if iran doesn't come back to the table and negotiate to america's liking. we've gone back and counted, that was actually the ninth time over the course of the war that he's made that specific threat. unlike "taking the oil" or "taking control of the strait," it is an action the united states can take without ground forces or dramatically increasing military capabilities in the region. but the white house understands that it would lead the iranians to retaliate with major strikes against critical infrastructure across the gulf, and there is nothing the united states can do to effectively protect them from that threat. thus far, the us attacks over the past week have been primarily against military targets accordingly.

one further potential us escalation is against iran's remaining nuclear facilities, including its enriched uranium stockpiles buried under rubble at isfahan. pickaxe mountain, the nuclear facility presently under construction, is also an option, but the white house is not convinced that bombing it would be effective (unlike fordow, which is buried under softer sedimentary rock, this facility is carved into the granite and almost three times deeper underground). a strike on isfahan would be a short military campaign, risk few civilian lives, and have little impact on the iranian economy, while allowing trump an achievement to announce as a military victory. it also makes more credible president trump not "needing" a deal with the iranians—"doing it himself" as he has suggested—to address their nuclear program.

with neither side wanting to further escalate toward all-out war, we are now in an unstable environment of ongoing military strikes and "dueling blockades." where the iranians will continue attacking while squeezing the gulf states to get improved leverage over economic extraction on the strait...as well as some unfreezing of their assets. the question is when one side will have to give in to the other, and we'll need to get diplomatic efforts to de-escalate and come to an agreement. how long that takes is hard to gauge, at present—but it could easily last for a month or two.

that's in part because the overall price pressure is—for now—lower. china has substantially reduced its oil demand and is likely to continue to as long as prices are high. absent opec, the emiratis are producing more oil. so we aren't seeing an actual shortage likely. meanwhile, stockpiles in the united states are at low levels but the us still has enough cushion on refined product (diesel, gasoline) for roughly two months of demand. further, lower oil prices during the ceasefire have helped to keep a lid on inflation, leading to lower consumer pressure. at this point, the nearer-term time constraint might well be hardware, with the united states military running low on guided munitions (tomahawk missiles) and air defense interceptors (patriots, sm-3s and 6s, aegis & thaad missile defense), which limits the

capacity for the united states to maintain open-ended strikes to roughly mid-august.

responding to g-zero

i've for more than a decade now written about our coming (now present) geopolitical recession, a "bust cycle" where the rules of the road—institutions, architecture, and broad parameters of international relations—no longer align with the balance of power. when that happens, there are three options to get out of the recession: 1) remake existing institutions so they're better suited for the new geopolitical environment; 2) build new institutions that reflect the existing geopolitical realities; and 3) go to war.

to be fair, there's also a fourth: 4) pretend it isn't happening and continue to act as if we're still in a boom cycle. that was more feasible for countries 5-10 years ago, with governments presuming the shift in us policy was a blip/not structural. or that chinese capabilities were flatlining through a middle-income trap, corruption, and the like. or that the russian "little green men" in ukraine weren't a big enough threat to require a serious response.

that's become harder to maintain more recently, though you still encounter efforts from washington, since the us government is more immediately insulated from the g-zero implications. on that front, it was notable to see undersecretary of defense bridge colby give it a shot last week by discounting the "middle power" strategy as wasting "valuable time, money and political capital on a distraction," while other countries only want more engagement and integration with the americans.

but the reality is all three of the responses to geopolitical recession are now happening simultaneously, even if they are not necessarily recognized as such. which makes it less obvious to assess what is and isn't working. a few thoughts on that.

1) institutional reform. of the institutions that are being remade, the most consequential responses to date are in europe. in part because they're most directly affected by all three drivers of geopolitical recession: the russians not being integrated into an expanded eu/nato and lashing out accordingly; china being integrated into the global economy on the presumption they'd align with western political and economic systems...but not aligning; and the united states becoming increasingly unilateralist and transactional. and in part because the european union is itself the most successful experiment in supranational governance that we've had on the global stage, so there's a great deal at stake.

we're now seeing increased alignment with the draghi plan: greater financial integration and reduced bureaucratic red tape, as well as a significant increase in defense and related infrastructure investment—mostly among frontline nato states and at the national level, but also notably with the "coalition of the willing" to build european capability against ballistic missile attacks. in short, a deterrence capability that runs in parallel to nato.

beyond that, much of the remaking of existing institutions is more about resilience and defense so that countries can better stand up to a period of greater geopolitical risk and uncertainty. i'd put the "variable geometry" approach touted by canadian prime minister mark carney and now finnish president alex stubb in this category—conceptually on target, but only incremental in ability to execute. the united nations' un80 initiative: reducing spend, inefficiencies, and redundancies in existing bureaucracy so they aren't as vulnerable to reductions in budget. the recent celac commission comes to similar conclusions for governance in latin america—taking geopolitical "ruptures" as principal concern, the response is not dissimilar to calls we've seen for decades: strengthening state capacity, legitimacy, and the like.

2) institution creation. the major response has been through the creation of "minilaterals," smaller, more focused groups of "like-minded states" standing up new mechanisms to address specific national

security threats and vulnerabilities. that's most notable in the middle east: the islamic bloc/quad of saudi arabia, pakistan, turkey and egypt on the back of the saudi-pakistan defense pact, with coordination on counterterrorism, maritime security, defense industry coordination, and crisis response in gaza, sudan and libya. and the parallel/competing structure of the abrahamic bloc of the united arab emirates, israel, india and greece. both of which became more important in response to the inadequacies of existing region-wide structures (the gulf cooperation council and, more broadly, opec) given the immediate and near-existential threats posed by the us-led war in iran. less dramatic but analogous efforts are the united states-led security engagements in asia through the quad and aukus.

china's hub-and-spoke efforts have been important, especially belt and road and, more multilaterally, the brics and asian infrastructure investment bank and new development bank. the latter are meant as complements to the world bank/imf system with growing de-dollarization infrastructure, part of china's longer-term strategy to facilitate trade in local currencies and, at the margins, reduce the centrality of the us dollar as global reserve currency.

others have been weaker. the much discussed russia, china, north korea, iran axis can be seen as a natural rejoinder to the vacuum created by the united states, but china is risk-averse and wants stability (at least outside their immediate region, where there is more china-favorable power asymmetry and direct china-relevant history and nationalism at stake), while the others are acting more as rogue states and willing to take much more risk. which has made the emergence of an anti-us "bloc" one of convenience and generally more transactional than strategic.

and still others have been dead on arrival: notably, president trump's "board of peace" reflects an effort to remake geopolitical architecture in a more transactional (personally aligned with the president) and unilateral (hub-and-spoke) approach...and was stillborn—receiving mostly lip service from a small group of country leaders with various, uncoordinated reasons to show their support for the effort.

most significantly, global arenas—either universalist or issue area-specific—are nearly absent from these efforts. un security council reform is a dead letter, functionally moribund given the lack of alignment and permanent member vetoes. there's a great deal of movement on climate that's been increasingly (and successfully) driven by non-coordinated prioritization and investment from china, europe, and private sector members globally, but that's largely happened in spite of top-down governance efforts. the most urgent area (as i wrote about last week) is artificial intelligence. there, technology leaders increasingly see the need (see demis hassabis's useful call for a global ai "finra" last week as just the latest of many), but there's no uptake from the americans, leaving the space effectively empty. china moved on this front last week. launching a 29-member ai governance (waico) in shanghai. but on its own terms, global south-anchored, with russia and pakistan in and india and the united states out. the pattern is familiar, with a not-universal institution, and instead another hub-and-spoke play designed to shape norms from a chinese-anchored position while washington sits out.

3) war. if new rules of the road can't be voluntarily agreed on, they will be fought over (we return to clausewitz once again). both top-down and bottom-up, to disrupt outdated institutional arrangements as they get weaker and are seen as illegitimate. with the intended outcome being a new period of geopolitical stability: the imposition of new rules to reflect the new balance of power.

and we see that happening as well. most dramatically with the russian invasion of ukraine, and the united states/israel decapitation in iran, both of which have disrupted global supply chains and destabilized the broader regions where the conflicts are being fought.

we're seeing precursors to war, through regional power asymmetries leading to greater coercion with the intention of de facto achieving new outcomes. three stand out: 1) china's steady expansion into the south china sea as well as increasing military leverage over and around the taiwan strait. 2) president trump's donroe doctrine with military pressure in several countries across latin america, and the direct military intervention and regime capture in venezuela. and 3) israel's unilateral wars against iran proxies and creeping annexations of territory outside their borders—in the west bank, gaza, and southern lebanon.

we're also seeing analogous developments in domestic politics through precursors to political revolution: the anti-establishment populism increasingly driving domestic politics in the developed and pockets of the developing (latin america, south asia) world. while the young in china are "lying flat," from bangladesh to germany, from nepal to the united states they're driving some of the most dynamic grassroots political movements in the world, on climate, anti-corruption, technology, and economic redistribution.

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on the upside, none of this implies that geopolitical recession will tip into depression—that we are on the precipice of world war iii. the major confrontations are about local power imbalances—regionally and within countries. while on the broader international stage, there's much risk aversion when it comes to perceptions of vulnerability and overdependence. there remains plenty of recognized mutually assured destruction, not just nuclear but in economic trade and supply chains, on cyber and espionage, and other areas as well. while the most powerful leaders in the world aren't facing existential choices (with the potential and dangerous exception of russian president vladimir putin).

on the downside, all the efforts at strengthening and creating a new global order to replace the old are to date slower and less impactful than the fragmentation and power vacuums that reflect a deepening g-zero. the more we see new governance efforts as talk shops—incremental piecemeal efforts at institutional reform and creation—while the underlying balance of power continues to shift further and further away from our existing global rules, standards, and architecture, the more revolutionary impulses from above and below will become the primary force for change.

and then the wildcard: the emergence of new global actors. here, we should think about two competing developments. first, the growing geopolitical importance of technology companies. they are exceptionally fast-moving and disruptive, of traditional geopolitical actors even more quickly than of legacy companies. their ai models and expansion are writing the rules of the road for a new 21st-century geopolitical order, even if the tech company leaders aren't necessarily intending (and aren't necessarily aware) that's the outcome. and second, the individuals becoming more technologically empowered and developing new capabilities—in terms of ideas and ideologies, inventions, and weapons. which could drive a new globalization that would be far more diffuse in rule-setting than anything we've seen in the westphalian order. it's way too early to assess where these trends are heading, but both are areas to watch closely, since they are moving considerably faster than the traditional, state-based reactions...

us politics & elections

i'm hearing growing concerns about president trump's intentions and capacity to interfere with the midterm elections. trump's primetime speech last thursday is seen as a core example: focusing on previous elections as being rigged/stolen remains core to president trump's narrative (not to mention a litmus test for any senior administration appointees), pointing to foreign interference in previous us

elections and raising the alarm going forward.

the trump administration was focused on the issue when they took office in 2025, disagreeing heavily with the intelligence assessment declassified by the biden administration. which was a fair point shared by non-political senior members of the intelligence community—china's attempts to interfere were too readily dismissed. but then they dropped it, which raises the question, why bring it up now?

plausible answers: to win support from reluctant republicans for the save america act on voter id and do everything possible to swing midterms in their favor. or to deflect blame for what's expected to be a wipeout against the republicans come november. (a third answer i'll dispense with, to change tack on the us/china relationship; trump doesn't want to rock the boat and the chinese are doing everything possible to maintain stability...taiwan is what matters to them, not us playing domestic political games.)

i'm in the second camp. as i see greater constraints on trump (both institutional and self-imposed), and also a lack of discipline and focus on prioritization of executive action.

on the constraints. the evidence in the thursday speech was unconvincing even to most congressional supporters, who would rather dispense with what has become an increasingly unpopular issue. president trump isn't acting like someone who cares about midterms. we're seeing this in the elections themselves—preferring to support individuals that he sees as completely loyal and punishing personally those that aren't, irrespective of whether or not that hurts his broader cause. it's worth remembering after trump lost the 2020 election to joe biden—he told his supporters not to show up at the georgia by-elections (which he said he won, and continues to focus on now)...which led the democrats to pick up two critical seats and end up controlling the senate. and that's true this time around, with trump's decision to support kenpaxton for a competitive senate run in texas, making that seat more plausible for the democrats to pick up.

there's also not much prioritization of action. trump has now spent nearly half a year on iran as his top area of policy. wasn't intended, thought it would just be a few days. but as it's gone longer and longer, he's gotten stuck with it. not prepared to move on, despite the damage it does to him on policy. i see the timing of thursday's speech as relevant here—trump understood his further escalation of the iran war puts the midterm out of reach. so he needs to prepare his audience for claiming it's rigged when he loses.

and so, yes, trump is prepared to refuse to accept the november outcome. i can see him contesting close races, refusing to accept the legitimacy of voting infrastructure and voting machines in democratic-controlled states, and the like. but i also expect him to fail. a combination of poor and unfocused implementation, weaker support as lameduck status nears, and existing checks and balances makes this a risk i'm discounting heavily.

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very good to see a successful world cup wrap up in new jersey yesterday afternoon, due congratulations to spain. and pretty excited about my red sox, who have now won 13 in a row for the first time since 1948 (hope i'm not jinxing them...).

in washington dc for a bunch of meetings today, hope all well.

very best,
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